

1 ENGROSSED HOUSE
2 BILL NO. 2116

By: Lay of the House

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4 Frix of the Senate
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7 An Act relating to public retirement systems;
8 amending 47 O.S. 2021, Section 2-300, as last amended
9 by Section 1, Chapter 45, O.S.L. 2025 (47 O.S. Supp.
10 2025, Section 2-300), which relates to the Oklahoma
11 Law Enforcement Retirement System; modifying term;
12 providing for participation of certain new employees
13 of certain agency in the Oklahoma Law Enforcement
14 Retirement System; providing for codification; and
15 declaring an emergency.

16 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

17 SECTION 1. AMENDATORY 47 O.S. 2021, Section 2-300, as
18 last amended by Section 1, Chapter 45, O.S.L. 2025 (47 O.S. Supp.
19 2025, Section 2-300), is amended to read as follows:

20 Section 2-300. As used in Section 2-300 et seq. of this title:

21 1. "System" means the Oklahoma Law Enforcement Retirement
22 System;

23 2. "Act" means Section 2-300 et seq. of this title;

24 3. "Board" means the Oklahoma Law Enforcement Retirement Board
of the System;

1 4. "Executive Director" means the managing officer of the
2 System employed by the Board;

3 5. "Fund" means the Oklahoma Law Enforcement Retirement Fund;

4 6. "Participating employer" means any Oklahoma entity with one
5 or more employees who are members of the System;

6 7. a. "Member" means:

7 (1) all commissioned law enforcement officers of the
8 Oklahoma Highway Patrol Division of the
9 Department of Public Safety who have obtained
10 certification from the Council on Law Enforcement
11 Education and Training, and all cadets of a
12 Patrol Academy of the Department of Public
13 Safety,

14 (2) law enforcement officers and criminalists of the
15 Oklahoma State Bureau of Investigation,

16 (3) law enforcement officers of the Oklahoma State
17 Bureau of Narcotics and Dangerous Drugs Control
18 designated to perform duties in the investigation
19 and prevention of crime and the enforcement of
20 the criminal laws of this state,

21 (4) law enforcement officers of the Alcoholic
22 Beverage Laws Enforcement Commission designated
23 to perform duties in the investigation and
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1 prevention of crime and the enforcement of the
2 criminal laws of this state,

3 (5) employees of the Communications Section of the
4 Oklahoma Highway Patrol Division, radio
5 technicians and tower technicians of the
6 Department of Public Safety, who are employed in
7 any such capacity as of June 30, 2008, and who
8 remain employed on or after July 1, 2008, until a
9 termination of service, or until a termination of
10 service with an election of a vested benefit from
11 the System, or until retirement. Effective July
12 1, 2008, a person employed for the first time as
13 an employee of the Department of Public Safety in
14 the Communications Division as an information
15 systems telecommunication technician of the
16 Department of Public Safety shall not be a member
17 of the System,

18 (6) park rangers of the Oklahoma Tourism and
19 Recreation Department and any park manager or
20 park supervisor of the Oklahoma Tourism and
21 Recreation Department, who was employed in such a
22 position prior to July 1, 1985, and who elects on
23 or before September 1, 1996, to participate in
24 the System,

- 1 (7) inspectors of the State Board of Pharmacy,
2 (8) active commissioned or CLEET-certified agents
3 hired by the Office of the Attorney General or
4 the Military Department of the State of Oklahoma
5 on or after July 1, 2024,
6 (9) police officers who are CLEET-certified and
7 employed by the University of Oklahoma or
8 Oklahoma State University and who participate in
9 the System, pursuant to Section 2-314 of this
10 title, ~~and~~
11 (10) lake patrolmen or dispatchers of the Grand River
12 Dam Authority who participate in the System,
13 pursuant to Section 2-315 of this title, and
14 (11) active commissioned or CLEET-certified officers
15 hired by the Office of the State Fire Marshal on
16 or after July 1, 2026.

- 17 b. Effective July 1, 1987, a member does not include a
18 "leased employee" as defined under Section 414(n) (2)
19 of the Internal Revenue Code of 1986, as amended.
20 Effective July 1, 1999, any individual who agrees with
21 the participating employer that the individual's
22 services are to be performed as a leased employee or
23 an independent contractor shall not be a member
24 regardless of any classification as a common-law

1 employee by the Internal Revenue Service or any other
2 governmental agency, or any court of competent
3 jurisdiction.

4 c. All persons offered a position described in
5 subparagraph a of this paragraph shall participate in
6 the System only upon meeting the requisite post-offer-
7 pre-employment examination standards which shall be
8 subject to the following requirements:

9 (1) all such persons shall be of good moral
10 character, free from deformities, mental or
11 physical conditions, or disease and alcohol or
12 drug addiction which would prohibit the person
13 from performing the duties of a law enforcement
14 officer,

15 (2) the physical-medical examination shall pertain to
16 age, sight, hearing, agility and other conditions
17 the requirements of which shall be established by
18 the Board,

19 (3) the person shall be required to meet the
20 conditions of this subsection prior to the
21 beginning of actual employment but after an offer
22 of employment has been tendered by a
23 participating employer,
24

(4) the Board shall have authority to deny or revoke membership of any person submitting false information in such person's membership application, and

(5) the Board shall have final authority in determining eligibility for membership in the System, ~~pursuant to the provisions of this subsection;~~

8. "Normal retirement date" means the date at which the member is eligible to receive the unreduced payments of the member's accrued retirement benefit. Such date shall be the first day of the month coinciding with or following the date the member:

- a. completes twenty (20) years of vesting service, or
- b. attains sixty-two (62) years of age with ten (10) years of vesting service, or
- c. attains sixty-two (62) years of age, if:

(1) the member has been transferred to this System from the Oklahoma Public Employees Retirement System on or after July 1, 1981, and

(2) the member would have been vested had the member continued to be a member of the Oklahoma Public Employees Retirement System.

With respect to distributions under the System made for calendar years beginning on or after January 1, 2005, the System shall apply

1 the minimum distribution incidental benefit requirements, incidental
2 benefit requirements, and minimum distribution requirements of
3 Section 401(a)(9) of the Internal Revenue Code of 1986, as amended,
4 in accordance with the final regulations under Section 401(a)(9) of
5 the Internal Revenue Code of 1986, as amended, including Treasury
6 Regulations Sections 1.401(a)(9)-1 through 1.401(a)(9)-9; provided,
7 that for individuals who attain seventy and one-half (70 1/2) years
8 of age after December 31, 2019, but before January 1, 2023, such
9 distributions shall take into account that "age 70 1/2" was stricken
10 and "age 72" was inserted in Sections 401(a)(9)(B)(iv)(I),
11 401(a)(9)(C)(i)(I) and 401(a)(9)(C)(ii)(I) of the Internal Revenue
12 Code of 1986, as amended, and, provided further, that for
13 individuals who attain seventy-two (72) years of age after December
14 31, 2022, such distributions shall take into account that "age 72"
15 was stricken and "the applicable age", as defined in Section
16 401(a)(9)(C)(v) of the Internal Revenue Code of 1986, as amended,
17 was inserted in Section 401(a)(9)(B)(iv)(I) of the Internal Revenue
18 Code of 1986, as amended (applicable to calendar year 2023), Section
19 401(a)(9)(C)(i)(I) and Section 401(a)(9)(C)(ii)(I) of the Internal
20 Revenue Code of 1986, as amended, and that the further revision of
21 Section 401(a)(9)(B)(iv) of the Internal Revenue Code of 1986, as
22 amended, effective for calendar years after 2023 with respect to
23 certain distributions shall be taken into account, in all cases
24 notwithstanding any provision of the System to the contrary. With

1 respect to distributions under the System made for calendar years
2 beginning on or after January 1, 2001, through December 31, 2004,
3 the System shall apply the minimum distribution requirements and
4 incidental benefit requirements of Section 401(a)(9) of the Internal
5 Revenue Code of 1986, as amended, in accordance with the regulations
6 under Section 401(a)(9) of the Internal Revenue Code of 1986, as
7 amended, which were proposed in January 2001, notwithstanding any
8 provision of the System to the contrary.

9 Effective July 1, 1989, notwithstanding any other provision
10 contained herein to the contrary, in no event shall commencement of
11 distribution of the accrued retirement benefit of a member be
12 delayed beyond April 1 of the calendar year following the later of:
13 (1) the calendar year in which the member reaches seventy and one-
14 half (70 1/2) years of age for a member who attains this age before
15 January 1, 2020, or, for a member who attains this age on or after
16 January 1, 2020, but before January 1, 2023, the calendar year in
17 which the member reaches seventy-two (72) years of age, or effective
18 for distributions required to be made after December 31, 2022, the
19 calendar year in which the member reaches seventy-three (73) years
20 of age for an individual who attains age seventy-two (72) after
21 December 31, 2022, or "the applicable age", as defined in Section
22 401(a)(9)(C)(v) of the Internal Revenue Code of 1986, as amended, if
23 later; or (2) the actual retirement date of the member. A member
24 electing to defer the commencement of retirement benefits pursuant

1 to Section 2-308.1 of this title may not defer the benefit
2 commencement beyond the age of sixty-five (65).

3 Effective September 8, 2009, notwithstanding anything to the
4 contrary of the System, the System, which as a governmental plan
5 (within the meaning of Section 414(d) of the Internal Revenue Code
6 of 1986, as amended), is treated as having complied with Section
7 401(a)(9) of the Internal Revenue Code of 1986, as amended, for all
8 years to which Section 401(a)(9) of the Internal Revenue Code of
9 1986, as amended, applies to the System if the System complies with
10 a reasonable and good faith interpretation of Section 401(a)(9) of
11 the Internal Revenue Code of 1986, as amended.

12 A member who was required to join the System effective July 1,
13 1980, because of the transfer of the employing agency from the
14 Oklahoma Public Employees Retirement System to the System, and was
15 not a member of the Oklahoma Public Employees Retirement System on
16 the date of such transfer shall be allowed to receive credit for
17 prior law enforcement service rendered to this state, if the member
18 is not receiving or eligible to receive retirement credit or
19 benefits for such service in any other public retirement system,
20 upon payment to the System of the employee contribution the member
21 would have been subject to had the member been a member of the
22 System at the time, plus five percent (5%) interest. Service credit
23 received pursuant to this paragraph shall be used in determining the
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1 member's retirement benefit, and shall be used in determining years
2 of service for retirement or vesting purposes;

3 9. "Actual paid base salary" means the salary received by a
4 member, excluding payment for any accumulated leave or uniform
5 allowance. Salary shall include any amount of nonelective salary
6 reduction under Section 414(h) of the Internal Revenue Code of 1986;

7 10. "Final average salary" means the average of the highest
8 thirty (30) consecutive complete months of actual paid gross salary.
9 Gross salary shall include any amount of elective salary reduction
10 under Section 457 of the Internal Revenue Code of 1986, as amended,
11 and any amount of nonelective salary reduction under Section 414(h)
12 of the Internal Revenue Code of 1986, as amended. Effective July 1,
13 1992, gross salary shall include any amount of elective salary
14 reduction under Section 125 of the Internal Revenue Code of 1986, as
15 amended. Effective July 1, 1998, gross salary shall include any
16 amount of elective salary reduction not includable in the gross
17 income of the member under Section 132(f)(4) of the Internal Revenue
18 Code of 1986, as amended. Effective July 1, 1998, for purposes of
19 determining a member's compensation, any contribution by the member
20 to reduce his or her regular cash remuneration under Section
21 132(f)(4) of the Internal Revenue Code of 1986, as amended, shall be
22 treated as if the member did not make such an election. Only salary
23 on which required contributions have been made may be used in
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1 computing the final average salary. Gross salary shall not include
2 severance pay.

3 In addition to other applicable limitations, and notwithstanding
4 any other provision to the contrary, for plan years beginning on or
5 after July 1, 2002, the annual gross salary of each "Noneligible
6 Member" taken into account under the System shall not exceed the
7 Economic Growth and Tax Relief Reconciliation Act of 2001 ("EGTRRA")
8 annual salary limit. The EGTRRA annual salary limit is Two Hundred
9 Thousand Dollars (\$200,000.00), as adjusted by the Commissioner for
10 increases in the cost of living in accordance with Section
11 401(a)(17)(B) of the Internal Revenue Code of 1986, as amended. The
12 annual salary limit in effect for a calendar year applies to any
13 period, not exceeding twelve (12) months, over which salary is
14 determined ("determination period") beginning in such calendar year.
15 If a determination period consists of fewer than twelve (12) months,
16 the EGTRRA salary limit will be multiplied by a fraction, the
17 numerator of which is the number of months in the determination
18 period, and the denominator of which is twelve (12). For purposes
19 of this section, a "Noneligible Member" is any member who first
20 became a member during a plan year commencing on or after July 1,
21 1996.

22 For plan years beginning on or after July 1, 2002, any reference
23 in the System to the annual salary limit under Section 401(a)(17) of
24

1 the Internal Revenue Code of 1986, as amended, shall mean the EGTRRA
2 salary limit set forth in this provision.

3 Effective January 1, 2008, gross salary for a plan year shall
4 also include gross salary, as described above, for services, but
5 paid by the later of two and one-half (2 1/2) months after a
6 member's severance from employment or the end of the calendar year
7 that includes the date the member terminated employment, if it is a
8 payment that, absent a severance from employment, would have been
9 paid to the member while the member continued in employment with the
10 employer.

11 Effective January 1, 2008, any payments not described above
12 shall not be considered gross salary if paid after severance from
13 employment, even if they are paid by the later of two and one-half
14 (2 1/2) months after the date of severance from employment or the
15 end of the calendar year that includes the date of severance from
16 employment, except payments to an individual who does not currently
17 perform services for the employer by reason of qualified military
18 service within the meaning of Section 414(u)(5) of the Internal
19 Revenue Code of 1986, as amended, to the extent these payments do
20 not exceed the amounts the individual would have received if the
21 individual had continued to perform services for the employer rather
22 than entering qualified military service.

23 Effective January 1, 2008, back pay, within the meaning of
24 Section 1.415(c)-2(g)(8) of the Income Tax Regulations, shall be

1 treated as gross salary for the limitation year to which the back
2 pay relates to the extent the back pay represents wages and
3 compensation that would otherwise be included in this definition.

4 Effective for years beginning after December 31, 2008, gross
5 salary shall also include differential wage payments under Section
6 414(u)(12) of the Internal Revenue Code of 1986, as amended;

7 11. "Credited service" means the period of service used to
8 determine the amount of benefits payable to a member. Credited
9 service shall consist of the period during which the member
10 participated in the System or the predecessor Plan as an active
11 employee in an eligible membership classification, plus any service
12 prior to the establishment of the predecessor Plan which was
13 credited under the predecessor Plan and for law enforcement officers
14 and criminalists of the Oklahoma State Bureau of Investigation and
15 the Oklahoma State Bureau of Narcotics and Dangerous Drugs Control
16 who became members of the System on July 1, 1980, any service
17 credited under the Oklahoma Public Employees Retirement System as of
18 June 30, 1980, and for members of the Communications and Lake Patrol
19 Divisions of the Oklahoma Department of Public Safety, who became
20 members of the System on July 1, 1981, any service credited under
21 the predecessor Plan or the Oklahoma Public Employees Retirement
22 System as of June 30, 1981, and for law enforcement officers of the
23 Alcoholic Beverage Laws Enforcement Commission who became members of
24 the System on July 1, 1982, any service credited under the Oklahoma

1 Public Employees Retirement System as of June 30, 1982, and for park
2 rangers of the Oklahoma Tourism and Recreation Department who became
3 members of the System on July 1, 1985, any service credited under
4 the Oklahoma Public Employees Retirement System as of June 30, 1985,
5 and for inspectors of the State Board of Pharmacy who became members
6 of the System on July 1, 1986, any service credited under the
7 Oklahoma Public Employees Retirement System as of June 30, 1986, for
8 law enforcement officers of the Oklahoma Capitol Patrol Division of
9 the Department of Public Safety who became members of the System
10 effective July 1, 1993, any service credited under the Oklahoma
11 Public Employees Retirement System as of June 30, 1993, and for all
12 commissioned officers in the Gunsmith/Ammunition Reloader Division
13 of the Department of Public Safety who became members of the System
14 effective July 1, 1994, any service credited under the Oklahoma
15 Public Employees Retirement System as of June 30, 1994, and for the
16 park managers or park supervisors of the Oklahoma Tourism and
17 Recreation Department who were employed in such a position prior to
18 July 1, 1985, and who elect to become members of the System
19 effective September 1, 1996, any service transferred pursuant to
20 subsection C of Section 2-309.6 of this title and any service
21 purchased pursuant to subsection B of Section 2-307.2 of this title.
22 Effective August 5, 1993, an authorized leave of absence shall
23 include a period of absence pursuant to the Family and Medical Leave
24 Act of 1993;

1 12. "Disability" means a physical or mental condition which, in
2 the judgment of the Board, totally and presumably permanently
3 prevents the member from engaging in the usual and customary duties
4 of the occupation of the member and thereafter prevents the member
5 from performing the duties of any occupation or service for which
6 the member is qualified by reason of training, education or
7 experience. A person is not under a disability when capable of
8 performing a service to the employer, regardless of occupation,
9 providing the salary of the employee is not diminished thereby;

10 13. "Limitation year" means the year used in applying the
11 limitations of Section 415 of the Internal Revenue Code of 1986,
12 which year shall be the calendar year;

13 14. "Line of duty" means any action which a member whose
14 primary function is crime control or reduction or enforcement of the
15 criminal law is obligated or authorized by rule, regulations,
16 condition of employment or service, or law to perform including
17 those social, ceremonial or athletic functions to which the member
18 is assigned, or for which the member is compensated, by the agency
19 the member serves;

20 15. "Personal injury" or "injury" means any traumatic injury as
21 well as diseases which are caused by or result from such an injury,
22 but not occupational diseases;

23 16. "Catastrophic nature" means consequences of an injury that
24 permanently prevent an individual from performing any gainful work;

1 17. "Traumatic injury" means a wound or a condition of the body
2 caused by external force including injuries inflicted by bullets,
3 explosives, sharp instruments, blunt objects or other physical
4 blows, chemicals, electricity, climatic conditions, infectious
5 diseases, radiation and bacteria, but excluding stress and strain;
6 and

7 18. "Beneficiary" means the individual designated by the member
8 on a beneficiary designation form supplied by the Oklahoma Law
9 Enforcement Retirement System, or, if there is no designated
10 beneficiary or if the designated beneficiary predeceases the member,
11 the estate of the member. If the member's spouse is not designated
12 as the sole primary beneficiary, the member's spouse must sign a
13 consent.

14 SECTION 2. NEW LAW A new section of law to be codified
15 in the Oklahoma Statutes as Section 2-309.11 of Title 47, unless
16 there is created a duplication in numbering, reads as follows:

17 Commissioned or CLEET-certified officers of the Office of the
18 State Fire Marshal who are hired on or after July 1, 2026, shall
19 participate in and make contributions to the Oklahoma Law
20 Enforcement Retirement System as other participating employers and
21 members of the System. Such employees shall not make contributions
22 to any plan offered by the Oklahoma Public Employees Retirement
23 System, other than the Oklahoma State Employees Deferred
24 Compensation Plan and the Oklahoma State Employees Deferred Savings

Incentive Plan. The Office of the State Fire Marshal shall be a participating employer in the Oklahoma Law Enforcement Retirement System for all Office of the State Fire Marshal commissioned or CLEET-certified officers who participate in the Oklahoma Law Enforcement Retirement System pursuant to the provisions of this section.

SECTION 3. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval.

Passed the House of Representatives the 11th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of _____, 2026.

Presiding Officer of the Senate